DNL HISTORY-GEOGRAPHY · TERMINALE BFI · M. ROS

H1 The Wall Street Crash and its Impact

Theme 1 — The fragilisation of democracy, totalitarianism and WWII (1929–1945)

Objective. Explain how a stock-market collapse in one country became a world depression, and why that depression pushed the great democracies into economic nationalism and retreat while three regimes chose militarism.

Ten dates to know



The big picture

Historians still argue about what caused the Second World War. Was it the crisis of capitalism that followed the Crash, the threat of totalitarianism — or both? The course opens on two photographs of 1929: a solemn crowd outside the Stock Exchange, and Hitler greeting supporters at the Nuremberg party congress. Jay Winter speaks of a single "thirty years' war" running from 1914 to 1945, on the grounds that peace was never really achieved in between. This chapter follows the first link in that chain: an American financial collapse that spread through loans, trade and currencies until the liberal order built in 1919 was defeated.

KEY ISSUES

- Blame for the origins of WWII lies in part with the great democratic powers themselves. How far do you agree with this statement?
- How far do you agree that economic nationalism was the key factor in the slide towards war in 1939?

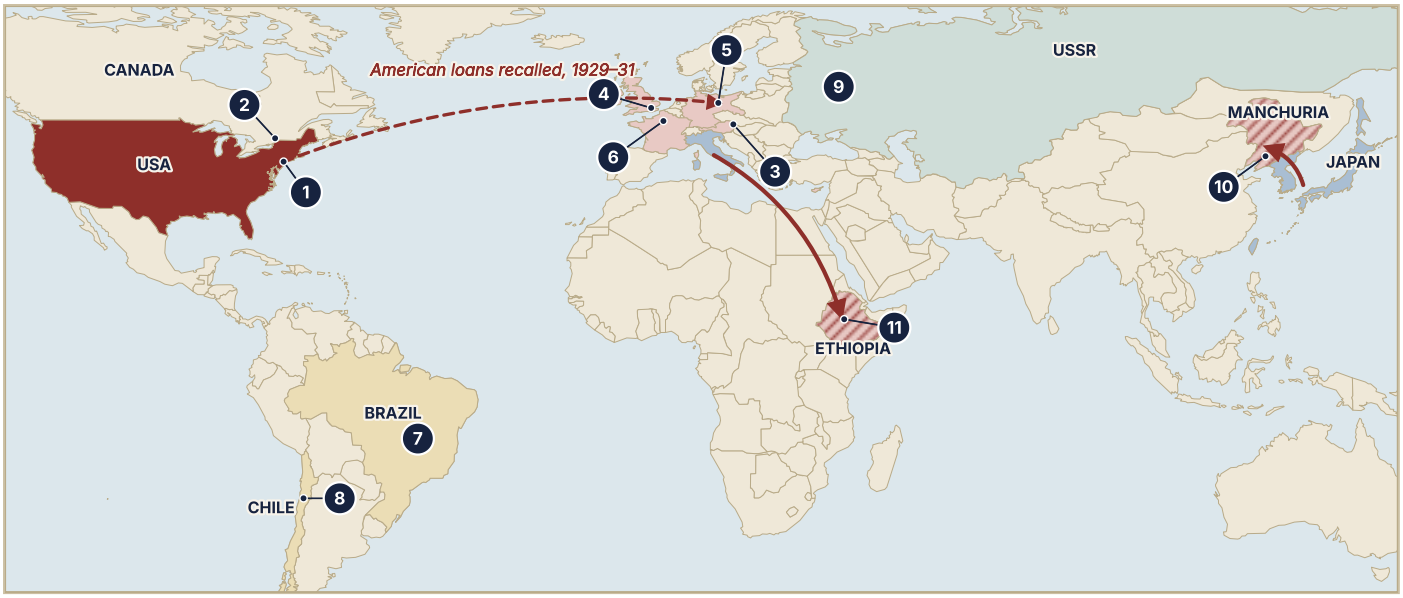
KEY TERMS

World-wide Economic Depression (1930s) · Appeasement

Summary diagram — How the crash became a world depression — and pushed the world towards war

Speculation Buying on margin; the market triples (1924–29) → **Crash** 24–29 Oct. 1929: panic selling → **Bank failures** 5,000 US banks by 1932: the Depression begins → **Loans recalled, gold** Dawes circuit broken; rates raised everywhere → **Economic nationalism** Tariffs, quotas, imperial blocs; trade −66% → **Two roads** Democracies retreat; three regimes choose militarism

Summary map — The crisis goes global, and the aggressions it opened (1929–1939)



- Origin of the crisis: the United States
- European economies hit by the recall of American loans
- Exporters of one commodity, ruined by falling prices
- USSR, outside world trade: barely touched
- Militarist regimes (Japan, Italy; Germany from 1933)
- Territories conquered by force

1. New York, 24–29 Oct. 1929: the Crash; the Dow Jones loses 89% by July 1932.
2. Canada retaliates within days against Smoot–Hawley (1930); Ottawa Conference and imperial preference (1932).
3. Vienna, May 1931: the Creditanstalt fails; German banks follow in July.
4. London, Sept. 1931: Britain leaves the Gold Standard; Import Duties Act, 10% tariff (1932).
5. Berlin: 43.8% of insured workers unemployed (1932); Hitler chancellor (Jan. 1933).
6. Paris: France hit late (1932); riots of 6 Feb. 1934; Front populaire (1936).
7. Brazil: about 78 million bags of coffee burned (1931–44) to hold up the price.
8. Chile: nitrate export earnings down by more than 80% (1929–32).
9. USSR: in its first Five-Year Plan, outside the capitalist trading system.
10. Mukden, 18 Sept. 1931: false-flag attack; Japan invades Manchuria (Manchukuo).
11. Ethiopia, Oct. 1935: invaded by Italy; the League debates sanctions until May 1936.

Borders of 1930. Arrows: Japanese and Italian aggressions; dashed: the recall of American loans.

I.1 What is the 1929 Great Crash?

A stock market is a place where companies raise money and investors buy a claim on profits

The Stock Exchange is a facility; the people who work there are traders. Large companies need investors, so they sell shares. A shareholder is rewarded in two ways: by the dividend, a share of profits paid out each year, or by selling the share to someone else for more than it cost. That second way is where the trouble starts, because it does not depend on the company at all — only on what the next buyer is prepared to pay.

> **EXAMPLE · OUTSIDE THE COURSE** Radio Corporation of America (RCA), the star stock of the late 1920s, paid no dividend at all, yet its share price multiplied several times in 1928–29: buyers were paying for what the next buyer would pay, not for profits. (Example added from outside the course.)

The Roaring Twenties: growth, optimism and affluence, built on Republican policy

Three Republican presidents in a row — Harding, Coolidge, Hoover — kept taxation low, allowed the development of trusts (giant combinations of companies) and protected industry with tariffs on imported goods. To this the decade added new sales, credit and marketing techniques: instalment plans let a family buy a car or a refrigerator before it could afford one. America also sat on vast natural resources and raw materials. The result was a boom that felt permanent.

> **EXAMPLE · OUTSIDE THE COURSE** The car is where the boom can be seen: the number of cars registered in the United States rose from about 8 million in 1920 to about 23 million in 1929, most of them bought on instalment credit. (Figures added from outside the course; The Great Gatsby, 1925, is the decade's literary portrait.)

Mass production made mass consumption possible — and concentrated economic power

Assembly-line methods cut the cost of manufactured goods far enough for middle-class households to buy them. Cars, radios, vacuum cleaners, refrigerators and washing machines entered ordinary homes for the first time; consumer goods were mass-produced and massively available. At the same time, industries concentrated into trusts and monopolies large enough to set their own prices, which made the boom look more secure than it was.

> **EXAMPLE** Rockefeller's Standard Oil controlled extraction, refining, distribution and pumping; Carnegie did the same for steel. A Ford Model T fell to roughly $260 by 1925, within reach of a middle-class family.

Speculation inflated the market beyond what companies were actually worth

Speculation means treating the stock market as an easy way to increase one's income rapidly — buying not for the dividend but to resell higher. It was a new trend, and it spread fast: between 1924 and 1929 the market tripled in five years, and by 1929 about 10% of American households held stock investments. Because prices had only ever risen, buying on credit seemed rational: borrow, buy, resell, repay. By 1929 speculation had really taken hold and demand for shares stood at an all-time high. The moment prices stopped rising, borrowed money still had to be repaid out of assets worth less.

> **EXAMPLE** Brokers lent clients up to 90% of a share's price ("buying on margin"). A 10% fall in the market wiped out such a buyer entirely — which is why a moderate fall became a stampede.

Meanwhile the real economy had already started its downturn

The slides make the point in one diagram: farming, coal, textiles and the other traditional trades, and the construction industry, were all in trouble before the Crash. Consumer goods were massively available — more than the market could absorb — which means overproduction and recession. Two facts explain why: the majority of Americans were poor, so they could not buy what the factories produced, and Europeans were still recovering from the First World War, so they could not buy it either. The stock market rose through 1929 on an economy that was already shrinking.

> **EXAMPLE** Farm prices had been falling since 1920: farmers who had borrowed to mechanise during the war found that peace brought lower prices and unchanged debts. The rural crisis is nine years older than the Crash.

In late October 1929 the financial panic began, and the selling fed on itself

Three days carry the story: Thursday 24 October (Black Thursday), when panic selling began and a crowd gathered outside the Exchange; Monday 28 and Tuesday 29 October, when the market lost roughly 13% and 12% in a single session each. The logic is circular: everyone tried to sell at once, so there were no buyers, so prices fell further, so more people sold at any price. Shareholders were not selling because they had changed their minds about American industry — they were selling because everyone else was.

> **EXAMPLE** On 29 October about 16 million shares changed hands, a record that stood for forty years. From its September 1929 peak of 381 the Dow Jones fell to 41 in July 1932 — a loss of 89% — and did not regain its 1929 level until 1954.

I.2 From the US Great Crash to a world-wide financial crisis

The Great Depression really began when numerous banks started failing

The slides insist on this sentence, and it is the hinge of the chapter. Confidence was lost; bank failures rose; as more people stopped trusting the banks and withdrew their savings, more banks failed. Uncertain about their future income, businesses and households cut spending; production and output fell; workers were laid off or paid less and bought even less. On the financial side, investors went bankrupt because their assets no longer exceeded their liabilities — their debts — and investment halted. A crash is a financial event that lasts days; a depression is what happens when the banking system carries it into the real economy.

> **EXAMPLE** There was no deposit insurance before 1933: when a bank failed, its customers' savings were simply gone. That is why a rumour alone could empty a bank — and why about 5,000 had failed by 1932.

The crisis spread through two channels: the sudden recall of American loans, and weaknesses that all economies already shared

The slides separate two kinds of cause, and the distinction is worth reusing in any essay. Short-term causes are the important international linkages: American banks suddenly recalled their loans to European banks; European banks collapsed; and because European banks also held assets in American banks, the collapse came back across the Atlantic. Long-term underlying causes are that economies worldwide had similar weaknesses — overproduction, falling prices, decreasing incomes for farmers, over-investment in secondary industries with overconfidence in their development — and, holding them all together, the Gold Standard.

> **EXAMPLE** Austria's largest bank, the Creditanstalt, failed in May 1931; German banks followed in July; Britain left the Gold Standard in September. Four months of dominoes, in the order the slides predict.

The Dawes Plan had tied Europe's finances to American credit

After 1918 Germany owed reparations to France and Britain, who owed war debts to the United States. The 1924 Dawes Plan resolved the deadlock by inserting American money at the start of the chain: an 800 million mark loan to Germany, reparations payments reaching 2.5 billion marks a year to the Allies, war-debt repayments from the Allies to the United States. Charles G. Dawes shared the Nobel Peace Prize in 1925 for it and became Vice-President. The arrangement worked — but it made European solvency depend on the continued flow of American capital, so that the recall of loans after the Crash broke all three sides at once.

> **EXAMPLE** The circuit can be followed in figures: an 800-million-mark American loan to Germany in 1924, German reparations rising to 2.5 billion marks a year by 1928–29, Allied war-debt repayments to Washington — all resting on American credit that was recalled after October 1929.

The Gold Standard was the transmission belt

Most countries fixed their currency to gold. When nervous speculators began trading dollars for gold, the Federal Reserve raised interest rates to preserve the dollar's value. Higher American rates then drew gold out of every country with lower rates, so countries untouched by the crash first-hand were forced to raise their own rates — the worst possible medicine for an economy already slowing, because dearer money means less investment and less spending. That is how a system built to guarantee stability spread the contraction to everyone. Leaving gold was the exit: Britain in September 1931, Japan in December 1931, the United States under Roosevelt in 1933, France only in 1936. The earlier a country left, the earlier it recovered — France, last out, recovered last.

> **EXAMPLE** Germany's output recovered strongly after 1932, once monetary constraint gave way to state spending; France, which defended the franc's gold value until 1936, was the worst-performing developed economy of the decade.

The Depression hits Europe by domino effect, and the world's periphery by falling prices

German and Austrian economies were hit first, and became unable to pay their reparations. By domino effect the British banks, which had invested in Germany, were rapidly affected. France, less indebted to the United States, was affected only in 1932, as German reparation payments stopped flowing smoothly. Beyond Europe, the end of American investment and loans and the fall in imports of raw materials struck the less developed countries: as raw-material prices kept dropping, their exports plummeted. The crisis lastingly affected Latin America, Canada, India, New Zealand and Australia.

> **EXAMPLE** Brazil, whose economy depended on coffee, burned some 78 million bags of it between 1931 and 1944 to hold the price up; Chile, which lived on nitrate, saw its export earnings collapse by more than 80% between 1929 and 1932. A country that sells one commodity has no cushion.

I.3 One of the defining traumas of the 20th century

The Depression destroyed jobs, wages and savings on a massive scale, in a country with no safety net

Industrial and farm production fell by 40%. Average wages fell by 60%. Fourteen million Americans were unemployed — 25% of all workers — at a time when there was no federal unemployment insurance, no social security and no public pension. Five thousand banks had gone bankrupt. Farm prices had plummeted because of overproduction, drought and the Dust Bowl. American exports broke down as trading partners closed their markets. The word "depression" therefore describes not a statistic but the disappearance of every safety net at once.

> **EXAMPLE** Unemployment went from 3% in 1929 to 25% in 1933. There was no deposit insurance before 1933 and no federal pension before 1935: a family could go from comfortable to destitute in a month, with nothing in between.

Hoovervilles made poverty visible in the middle of American cities

People evicted from their homes built shanty towns out of scrap wood, stone and metal on waste ground, often in the heart of major cities. They were named after President Hoover, whom public opinion held responsible — the name is itself a political verdict. Their presence in the centre of the wealthiest country in the world is the most legible image of the social collapse, and the course's first oral-presentation topic (what, where, who, when).

> **EXAMPLE** The largest Hooverville was in St Louis; another occupied part of Central Park in New York. Al Capone opened a soup kitchen in Chicago in 1931 — charity that was also a bid for public sympathy from a gangster under federal investigation.

The federal state itself documented poverty, turning photography into an argument for reform

Lange (1895–1965) photographed the destitute for federal agencies: White Angel Soup Kitchen (1933) in San Francisco, then, for the Farm Security Administration, the migrant farm workers of California. Migrant Mother (1936) shows Florence Owens Thompson, aged 32, living in a tent with seven children at Nipomo. Lange's own account matters for source analysis: she approached "as if drawn by a magnet", made five exposures "working closer and closer from the same direction", and learned that the family had been living on frozen vegetables from the field and birds the children caught, since the pea crop had frozen and there was no work — they could not move on because the mother had sold the car's tyres to buy food. The photograph is composed, not accidental, and it was made to win public support for relief programmes.

> **EXAMPLE** Migrant Mother, taken by Dorothea Lange for a federal agency at a pea-pickers' camp in Nipomo, California, in March 1936: Florence Owens Thompson, 32, with her children — the mother's gaze out of the frame, the children's faces turned away. Published at once, the image helped bring federal relief to the camp.

The Dust Bowl turned an economic crisis into an ecological one

Severe drought and a failure to apply dryland farming methods to prevent wind erosion caused the phenomenon. Mechanised ploughing had stripped the Great Plains of the deep grasses that held the soil; when the rains failed in the 1930s, the exposed topsoil rose into storms that buried farms and made whole counties unliveable. The disaster was not simply natural: it was the price of a farming technique that relied on heavy machinery without regard for the soil. Families ruined twice over — by prices and by dust — left for California, where Lange found them.

> **EXAMPLE** A dust storm photographed approaching Stratford, Texas, in 1935 fills the sky like a wall. "Black Sunday", 14 April 1935, turned day into night across Oklahoma and Texas; "dust pneumonia" killed children and the old.

The trauma was global, but not evenly distributed

The slide's chain is short: US Great Crash, US Great Depression, then decline in output, massive unemployment and acute deflation worldwide. But countries whose economies were not integrated into international stock markets and trade were largely spared, and the exceptions matter for the Key Term "World-wide Economic Depression": a world-wide depression does not mean every country suffered identically. The exceptions also explain why some political models gained prestige in the 1930s.

> **EXAMPLE** The USSR, outside the capitalist trading system and in the middle of its first Five-Year Plan, was barely touched — which is exactly why Western visitors of the early 1930s came home impressed by planning.

II.1 Economic nationalism

Before the Crash, Hoover's America practised "independent internationalism"

The label matters because it is not isolationism. The United States under Hoover sought commercial expansion through exports and foreign investment, aimed at economic and technological leadership, and refused political or military alliances — while staying outside the League of Nations. Fully engaged in the world economy, deliberately absent from its political institutions. After the Crash the priority became domestic survival: the United States cut off most of its international commitments, keeping only a minimum of trade.

> **EXAMPLE** American banks lent to Germany under the Dawes Plan and American firms invested across Europe, but Washington signed no alliance and joined no collective-security body. When the money went home in 1930, nothing political was left behind.

The United States answered the crisis with protectionism, raising tariffs to near-record levels

Sponsored by Senator Reed Smoot and Representative Willis Hawley, both Republicans, and signed by Hoover on 17 June 1930, the Act raised duties on more than 20,000 imported goods to the second-highest level in American history. It began as a promise to farmers during the 1928 campaign — protect American agriculture — and grew, through vote-trading in Congress ("support my tariff and I'll support yours"), into protection for every industry. The ideology it conveyed was economic nationalism: recovery by shutting out foreign competition. Its opponents were remarkable: a petition of 1,028 economists begged Hoover to veto it; Henry Ford called it "an economic stupidity"; the banker Thomas Lamont said he "almost went down on my knees" to stop it. Hoover signed anyway, under pressure from his party and business.

> **EXAMPLE** Twenty-three countries had lodged formal protests before the bill was even law. Two years later, in the 1932 election, both Smoot and Hawley lost their seats — the voters they had promised prosperity to had received the opposite.

Protectionism spread by retaliation, and the empires turned into closed trading blocs

The slides answer their own question with a cartoon: "I'm not sure we nailed it, pal." Canada, America's closest trading partner, retaliated within days with new duties on products worth about 30% of American exports to Canada, and turned towards the British Empire instead. Britain passed the Import Duties Act in 1932, a general tariff of 10% on most imports, and France set up an import quota system in 1931 — both exempting their own empires. Germany built a system of autarky. The pattern is important: the great trading powers did not simply close their doors, they redirected trade inwards towards colonies that could not refuse them, so the world economy became a set of rival imperial blocs rather than one market. World trade fell by about two thirds in value between 1929 and 1934. Many historians hold that the Act worsened the world-wide depression; the more careful judgment is that it turned a downturn into a trade war.

> **EXAMPLE** The Ottawa Conference of 1932 formalised "imperial preference": Britain and its dominions cut tariffs for each other and kept them high for everyone else. Free trade, the pillar of the 1919 liberal order, was gone.

Roosevelt reversed the policy, but the world had already changed

The slides pair Smoot–Hawley with a second box: "FDR — off Gold Standard". Roosevelt took the United States off gold in 1933, freeing the dollar to fall and prices to rise, and in 1934 the Reciprocal Tariff Agreement Act (RTAA) authorised him to negotiate tariff cuts country by country. The aim was to rebuild trade relations and liberalise global markets. The problem, as the course notes, was that the fascist leaders — Hitler and Mussolini — rejected foreign trade agreements altogether: their economies were being organised for autarky and war, not for exchange.

> **EXAMPLE** By 1939 the United States had signed reciprocal agreements with about twenty countries. None of them was Germany, Italy or Japan.

II.2 Political responses to the crisis

Germany: the country most exposed, and the one that broke

German industry depended on American credit, so the recall of loans hit it first and hardest: manufacturing production fell by 40%, prices collapsed and unemployment soared. Because Germany also owed reparations to Europe and repayments to the United States, it could neither borrow nor spend its way out. The proletariat was hit first — workers who lost their jobs, their income, their food and their homes — but the crisis reached the middle class too. Hunger marches, soup kitchens and street protests became ordinary sights; the loss of hope fed the rise of protest, and the protest found a party.

> **EXAMPLE** The worksheet's chart shows unemployment rising from 8.6% in 1928 to 43.8% in 1932 among insured workers. Melita Maschmann remembered adults talking of "six million unemployed" — and blaming the reparations, not the world crisis.

The Nazis never won a majority; they were let in

The NSDAP used the discontent to blame the weakness of the young Weimar Republic, offering simple solutions to complex problems and addressing the unemployed directly — even the communist worker. But the Nazis never won more than 50% of the vote. What brought them to power was the fear of communism among the middle class and the centre parties, who preferred to work with the Nazis rather than risk a revolution from the left. This is a useful distinction in an essay: the crisis created the audience, but a political calculation opened the door.

> **EXAMPLE** The Nazi vote followed the unemployment curve almost exactly: 2.6% in 1928, 18.3% in 1930, 37.3% in July 1932 — then it fell to 33.1% in November 1932. Hitler was appointed chancellor in January 1933 by conservatives who thought they could use him.

Nazi economic policy: stability, full employment, autarky — at any price

The goals were economic stability, an end to unemployment and autarky. The means combined coercion and spending: trade unions banned, wages frozen and working hours lengthened; tariffs on imports; public investment continuing Weimar's policy — schools, hospitals and roads, the Autobahn — plus rearmament, even though Versailles prohibited it; privatisation en masse of banks (Deutsche Bank), railways and shipyards. The last two items on the list are not economics but crime: the plundering of conquered nations and the dispossession of Jewish property. Read together, the list shows a regime that solved unemployment by preparing for war and paying for it with theft.

> **EXAMPLE** Rearmament absorbed the unemployed and pleased industry, which is why registered unemployment fell from six million in 1933 to under one million by 1937 — a recovery that only made sense if war followed.

Militarism spread to three regimes at once

Hitler, Mussolini and the Japanese government implemented militarism: the belief that a government should maintain a strong military force and be prepared to use it aggressively to defend or promote national interests. It has three dimensions, and an essay should name all three: the building up of armed forces; control of the government by the military; an aggressive foreign policy. The first is a budget choice, the second a constitutional one, the third the one that ends in war. The course's own Key Issue sits on this slide: economic factors and/or ideology?

> **EXAMPLE** Japan illustrates the second dimension most clearly: in September 1931 the Kwantung Army acted in Manchuria first and left the civilian government in Tokyo to explain afterwards.

The United States chose the opposite road: Roosevelt's New Deal — Relief, Recovery, Reform

Hoover's protectionist policy of the late 1920s had proved ineffective. Roosevelt, a Democrat elected in 1932, promoted a New Deal and a welfare state — expansionary economics — under three words: relief for the destitute, recovery for the economy, reform of the system that had failed. It came in two stages. The First New Deal (1933–35) opened with the emergency legislation of the "first hundred days", aimed, in Roosevelt's words, at "helping the millions who never had a chance: men at starvation wages, women in sweatshops, children at looms". The Second New Deal of 1935 turned relief into rights. The contrast with Germany is the point: both states spent public money against unemployment, but one built bridges and social insurance while the other built an army.

> **EXAMPLE** The hundred days created the Civilian Conservation Corps and the Tennessee Valley Authority and insured bank deposits; 1935 brought the Social Security Act — pensions and unemployment insurance — and the Works Progress Administration. San Francisco's Golden Gate Bridge went up from 1933 under the same impulse.

New Deal diplomacy: rebuilding trade and choosing new partners

The New Deal had a foreign policy, and it ran against economic nationalism. The 1934 Reciprocal Tariff Agreement Act aimed to build new trade relations and liberalise global markets; its limit was that the fascist leaders rejected foreign trade agreements. Roosevelt recognised the Soviet Union in November 1933, calculating that the USSR might help against Japan and that trade with it might help the American economy. And his "Good Neighbor" policy withdrew American forces from Cuba and Nicaragua, ending the interventions of the previous decades. Together these show a president trying to reopen the world economically while his Congress was closing it politically.

> **EXAMPLE** In November 1933 Washington recognised the USSR, sixteen years after the revolution, and the Reciprocal Tariff Agreement Act of 1934 let the president cut duties in bilateral deals — trade and new partners, but no alliance.

France's Front populaire (1936): social reform at home, appeasement abroad

France answered late and from the left. On 6 February 1934 the far-right leagues rioted in Paris in what the course calls a failed coup; the fear of fascism brought Socialists, Communists and Radicals together as the Front populaire, which won the 1936 elections under Léon Blum. It implemented the 40-hour week, two weeks' paid holiday and the nationalisation of the railway companies into the SNCF. Its economics were Keynesian — spending and deficits to revive demand — the exact opposite of Germany's austerity followed by rearmament: much larger deficits, and no money for the army. In international policy it chose appeasement and non-intervention in the Spanish Civil War.

> **EXAMPLE** The Matignon Agreements of June 1936 raised wages by 7 to 15% in a week. But France had left the Gold Standard only that autumn, and the franc's fall ate the gains; by 1938 the 40-hour week was being dismantled.

II.3 Great democracies reluctant to defend the Liberal order established in 1919

The liberal world order of 1919 rested on Wilsonianism

The great democracies of 1919 were Britain, France and the United States. President Wilson's Fourteen Points speech of 1918 carried liberalism into foreign policy through three principles — democracy, the self-determination of peoples, free trade — and the Paris Peace Conference, the Treaty of Versailles and the League of Nations, seated in Geneva, gave them institutions. That is what the course calls the liberal world order. Its weakness was present from birth: Republicans such as Hoover opposed the League, held the majority in the Senate, and refused to ratify the Treaty of Versailles that contained its covenant. The United States never joined the League its own president had conceived.

> **EXAMPLE** A Punch cartoon of December 1919, shown on the slides, already draws the gap in the bridge: the keystone marked "USA" is missing from the League's arch.

The League of Nations failed because of structural weaknesses present from 1919, which the crises of the 1930s exposed

The course separates the two. Structural: the US Congress failed to ratify the Treaty of Versailles containing the covenant; member nations refused to put international interests before national ones; aggressor nations undermined its authority as the depression encouraged states to be more aggressive towards each other; it had no army of its own; and its voting structure — every member state had a veto — made ratifying resolutions difficult, while representation among the world's nations was incomplete. Contextual: it was powerless in the face of the Italian, German and Japanese marches of militarism and expansionism. An essay should use the structural list to explain why the contextual failures were inevitable.

> **EXAMPLE** David Low's cartoon "The Doormat" (1933) shows a Japanese soldier stepping over the League while its officials bow and the British Foreign Secretary, John Simon, powders the League's nose with a "face-saving kit". The League had collapsed by the 1930s.

The League proved unable to stop the aggression of a great power

Korea was already a Japanese possession. On 18 September 1931 Japanese soldiers organised a false-flag attack on their own railway at Mukden to justify invading Manchuria, where they set up Manchukuo as a puppet state. The League sent the Lytton Commission, which condemned the action; Japan quit the League in March 1933. Hoover wanted no part in any American military action in the Far East. The Kellogg–Briand Pact of 1928 had declared war illegal and bound its signatories to negotiate — but it contained no mechanism to enforce that promise, and Manchuria proved it.

> **EXAMPLE** Manchuria, 1931–33: after the false-flag Mukden incident of 18 September 1931, Japan set up Manchukuo; the Lytton Commission reported only in October 1932, and when the League adopted its report in February 1933, Japan simply left the League (March 1933).

The United States condemned aggression in words but refused to act

On 7 January 1932 Secretary of State Henry Stimson notified Japan and China that the United States would not recognise any situation, treaty or agreement brought about by force that impaired American treaty rights in China — including the sovereignty and territorial integrity of the Chinese Republic and the "open door policy", which guaranteed the main powers equal access to commercial opportunities in China. It was a doctrine of non-recognition, not of action. Japan was infuriated, pointing out that the United States had itself conquered new territories only a few decades earlier, and bombed Shanghai in 1932 with massive casualties. No American response followed.

> **EXAMPLE** The Stimson note of 7 January 1932 refused to recognise any conquest by force in China; Japan answered by bombing Shanghai in 1932, with heavy civilian casualties — and no American response followed.

The Neutrality Acts (1935–1937) made the largest democracy unavailable

The United States resorted to isolationism as a result of the Great Depression and turned a blind eye to international tensions: Congress and the presidents turned to domestic policy, favouring protectionism and a welfare state. Isolationist Republicans — Senators Gerald Nye and Arthur Vandenberg among them — passed the Neutrality Acts: in 1935 an embargo on weapons and funding to any nation involved in a conflict; in 1936 a ban on Americans travelling aboard ships of nations at war; in 1937 an embargo on all trade with nations at war. Roosevelt's "I hate war" speech of 1936 shows the president himself speaking the country's mood. Then, in December 1937, Japan bombed the gunboat USS Panay and three American tankers in China; Japan apologised, paid an indemnity and promised no further attacks — and interpreted the American tone as a licence for further aggression.

> **EXAMPLE** The Nye Committee (1934–36) had spent two years arguing that arms manufacturers and bankers had dragged America into the First World War. The Neutrality Acts were written to make sure it could not happen again — whatever happened in Europe or Asia.

From 1939 the United States moved from neutrality to supplying the democracies — and rearmament ended the Depression

Only after war had begun did Roosevelt persuade Congress, in special session, to pass the Neutrality Act of 1939, allowing the United States to sell weapons to the European democracies on a "cash-and-carry" basis: pay in cash, carry the goods away on your own ships. The formula favoured whoever controlled the sea — Britain and France — but only if they had the cash, and it came ten years after the crisis that had produced the isolation. The result was that America became the "Arsenal of Democracy": its factories, idle since 1929, restarted to arm other people's wars.

> **EXAMPLE** The M4 Sherman tanks rolling off the Detroit Tank Arsenal line, shown on the slides, were built in a plant that did not exist in 1939. The Depression ended not with the New Deal but with rearmament — the same cure as Germany's, applied late and on the other side.

On the other side of the Atlantic: appeasement, and six rational reasons for it

Britain and France followed an appeasement policy — conceding to an aggressor's demands in the hope of avoiding war — that, together with American isolationism, countered every effort the League made to prevent conflict. When Mussolini attacked Ethiopia in 1935, Britain refused to impose the oil embargo that would have stopped him. When Hitler sent troops into the Rhineland in 1936, a region demilitarised by Versailles, France and Britain decided not to intervene. Why? Both were desperate to avoid another world war — pacifism; Britain was policing its empire and could not afford major rearmament; many Britons sympathised with a Germany they felt had been treated unfairly in 1918; both countries were seriously weakened, and their own economic problems came first; both believed American isolationism was leaving them unprotected; and both feared communism more than fascism. None of these reasons is stupid. Together they explain why democracies that could have acted chose not to.

> **EXAMPLE** In 1936 the German army marched into the Rhineland with orders to withdraw at the first sign of French resistance. There was none. Hitler later said the forty-eight hours after the march were the most nerve-racking of his life.

Consequences: appeasement enabled Nazi Germany to go further, until September 1939

The chain the course gives is the chapter's conclusion, and it should be learned in order. Italy invaded Ethiopia in 1935. Germany annexed Austria in March 1938 (the Anschluss). Hitler then demanded part of Czechoslovakia, and at Munich in September 1938 Chamberlain and Daladier, meeting Hitler and Mussolini, accepted the "cession to Germany of the Sudeten German territory" — the Munich Agreement, appeasement's defining act. The Rome–Berlin–Tokyo pact tied the three militarist powers into the Axis. In March 1939 Germany occupied all of Czechoslovakia, proving that Munich had bought nothing. On 1 September 1939 Germany invaded Poland; France and Britain declared war. European turmoil had worsened at every concession.

> **EXAMPLE** David Low's "Stepping Stones to Glory" (July 1936) draws Hitler climbing on the bent backs of "the spineless leaders of democracy" — rearmament, the Rhineland — towards the top step, marked "Boss of the Universe". Low drew it two years before Munich.

Key figures

Franklin D. Roosevelt
Democrat elected in 1932; the New Deal (Relief, Recovery, Reform), the recognition of the USSR, the “I hate war” speech, cash and carry

Herbert Hoover
Republican president 1929–33; independent internationalism, then Smoot–Hawley; his name went to the shanty towns

Charles G. Dawes
Author of the 1924 plan; shared the Nobel Peace Prize in 1925; Vice-President 1925–29

Reed Smoot and Willis Hawley
Republican sponsors of the 1930 tariff; both lost their seats in 1932

Dorothea Lange (1895–1965)
Photographer for federal agencies; White Angel Soup Kitchen (1933), Migrant Mother (1936)

Florence Owens Thompson
Aged 32, seven children, a tent at Nipomo: the face of Migrant Mother

Woodrow Wilson
His Fourteen Points (1918) founded the liberal order his own Senate refused to join

Henry L. Stimson
Secretary of State; his January 1932 note refused to recognise conquests by force

Adolf Hitler
Leader of the NSDAP; chancellor from January 1933 without ever winning a majority

Léon Blum
Socialist leader of the Front populaire government, June 1936

Neville Chamberlain and Édouard Daladier
British and French prime ministers who signed the Munich Agreement, September 1938

David Low
British cartoonist: The Doormat (1933), Stepping Stones to Glory (1936)

Melita Maschmann
Former Hitler Youth member; her 1963 memoir is Source 5 of Worksheet 3

John Maynard Keynes
Economist of public spending; reference for judging the Front populaire

Numbers

×3
The stock market tripled between 1924 and 1929 (course figure); 10% of households held shares

−89%
Fall of the Dow Jones from its September 1929 peak (381) to its July 1932 low (41)

−40% / −60%
Industrial and farm production / average wages, United States

14 million
Unemployed Americans — 25% of all workers; 5,000 banks bankrupt

20,000
Imported goods whose duties Smoot–Hawley raised; 1,028 economists asked for a veto

−66%
Fall in the value of world trade, 1929–1934

43.8%
German unemployment in 1932 among insured workers (Worksheet 3, Source 2)

10%
British general tariff under the Import Duties Act, 1932 — Empire excepted

100 days
Roosevelt's emergency legislation, 1933; 40 hours and 2 weeks' paid leave in France, 1936

Vocabulary

FINANCE AND THE STOCK MARKET

stock market / stock exchange
The institution where shares in companies are bought and sold.

share / stock
A fraction of ownership of a company, entitling the holder to a share of profits.

shareholder
A person who owns shares and receives dividends when the company profits.

dividend
The portion of a company's profit paid out to its shareholders.

speculation
Buying an asset in the expectation of reselling it at a higher price, rather than for the income it produces.

buying on margin / on credit
Borrowing money to buy shares; profitable while prices rise, ruinous when they fall.

assets / liabilities
What one owns against what one owes; investment stops when liabilities exceed assets.

bankruptcy
Legal state of a person or firm unable to repay its debts.

THE CRISIS AND ITS MECHANISMS

the Great Crash (1929)
The collapse of American share prices in late October 1929.

World-wide Economic Depression (1930s)
A prolonged, global fall in output with mass unemployment and severe deflation — the chapter's Key Term.

overproduction
Producing more goods than the market can absorb, because wages lag behind output.

deflation
A general fall in prices; it raises the real burden of debt and discourages spending.

Gold Standard
A system fixing each currency's value in gold; stable but preventing devaluation in a crisis.

Dawes Plan (1924)
American loans to Germany allowing reparations to the Allies and Allied war-debt repayment to the US.

reparations
Payments imposed on Germany after 1918 to compensate the victors' war damage.

tariff
A tax on imported goods, used to protect domestic industry from foreign competition.

economic nationalism
Policies putting national economic interest first, through tariffs, quotas and currency manipulation.

trust / monopoly
A firm or group large enough to control a whole sector and set its own prices.

SOCIETY UNDER THE DEPRESSION

unemployment
Being without paid work; it reached about 25% in the US in 1933.

Hooverville
Shanty town of scrap materials built by evicted families, named after President Hoover.

Dust Bowl
Region of the Great Plains where drought and intensive farming produced destructive dust storms.

soup kitchen
A place distributing free food to the destitute.

eviction
Being legally forced out of one's home, usually for failure to pay.

migrant worker
A worker moving from region to region for seasonal employment, often agricultural.

relief programme
Public assistance to the unemployed and destitute.

ECONOMIC NATIONALISM AND ISOLATION

independent internationalism
Hoover's stance: full economic engagement abroad, no political or military alliances.

isolationism
The policy of staying out of other countries' affairs and alliances.

Hawley–Smoot Tariff (1930)
American law raising import duties to record levels; it triggered world-wide retaliation.

Import Duties Act (1932)
British general tariff of 10% on most imports, the Empire excepted.

import quota
A fixed limit on the quantity of a good that may be imported; France used quotas from 1931.

autarky
Economic self-sufficiency: producing everything at home and depending on no one — a Nazi goal.

retaliation
Answering another country's tariff with one of your own.

POLITICAL RESPONSES

Weimar Republic
The German democratic regime of 1919–1933, blamed by the Nazis for the crisis.

NSDAP
Hitler's National Socialist party; it never won an absolute majority of votes.

proletariat
The industrial working class, the group hit first by unemployment.

rearmament
Rebuilding armed forces; in Germany it absorbed the unemployed and broke the Treaty of Versailles.

militarism
The belief that a government should maintain a strong military force; three dimensions: armed build-up, military control of government, aggressive foreign policy.

New Deal (1933–35, 1935)
Roosevelt's programme of emergency legislation, public spending and social insurance.

welfare state
A state that guarantees a minimum of social protection (unemployment, pensions, health).

expansionary economics
Public spending and deficits used to revive demand — the Keynesian remedy for depression.

austerity
Cutting public spending and wages to balance the budget; the opposite of expansion.

Front populaire (1936)
France's left-wing coalition government: large deficits, no investment in the army.

THE LIBERAL ORDER AND ITS COLLAPSE

liberal order (1919)
The settlement built on Wilsonianism: Paris conference, Versailles, League of Nations.

Wilsonianism
Wilson's principles: democracy, self-determination of peoples, free trade.

self-determination
The principle that each people should choose its own government.

League of Nations
The collective-security body created in 1919 and seated in Geneva; the US never joined.

Kellogg–Briand Pact (1928)
Treaty declaring war illegal and binding signatories to negotiate; no enforcement mechanism.

Mukden incident (1931)
Japan's staged railway bombing in Manchuria, used as a pretext for invasion.

puppet state
A nominally independent state controlled by a foreign power — Manchukuo under Japan.

Neutrality Acts
American laws of the mid-1930s forbidding contracts with countries at war.

cash and carry
The one exception: a belligerent could buy American weapons if it paid cash and shipped them itself.

appeasement
Conceding to an aggressor's demands to avoid war — the chapter's Key Term, applied to Britain in 1938.

Red Scare
Fear of communism; in Britain it outweighed the fear of fascism.

AMERICAN POLICY, 1930–1939

Reciprocal Tariff Agreement Act (1934)
Roosevelt's law allowing tariff cuts negotiated country by country — the reversal of Smoot–Hawley.

Good Neighbor policy
Roosevelt's withdrawal of American forces from Cuba, Nicaragua and Latin America.

Relief, Recovery, Reform
The three aims of the New Deal: help the destitute, restart the economy, change the system.

Stimson doctrine (1932)
American refusal to recognise any territorial change achieved by force — words without action.

open door policy
Equal commercial access to China for all the main powers; American policy since 1899.

Arsenal of Democracy
America as arms supplier to the democracies from 1939, without fighting itself.

imperial preference
Low tariffs inside the British Empire, high tariffs for outsiders (Ottawa, 1932).

THE ROAD TO WAR

false-flag attack
An attack staged to look like the enemy's work, to justify a response — Mukden, 1931.

Lytton Commission
The League's inquiry into Manchuria; it condemned Japan, which left the League.

Rhineland (1936)
Region demilitarised by Versailles, reoccupied by Hitler without any Franco-British reaction.

Anschluss (1938)
Germany's annexation of Austria in March 1938.

Munich Agreement (1938)
Chamberlain and Daladier accept the cession of the Sudetenland to Germany — appeasement's defining act.

Axis (Rome–Berlin–Tokyo)
The alliance of the three militarist powers.

Front populaire reforms
40-hour week, two weeks' paid holiday, nationalisation of the railways into the SNCF (1936–37).

non-intervention (Spain)
The Front populaire's refusal to help the Spanish Republic — appeasement from the left.